SOFTWARE DEVELOPMENT AGREEMENT

1 Interpretation

The headings of the clauses in this Agreement are for purposes of convenience and reference only and shall not be used in the interpretation, nor modify or amplify the terms of this Agreement nor any clause hereof. Unless a contrary intention appears–

1.1 Words importing–

1.1.1 any one gender includes the other gender;

1.1.2 the singular includes the plural and vice versa; and

1.1.3 a natural person includes juristic persons (corporate or unincorporated) and vice versa.

1.2 A reference to a statute or statutory provision is a reference to it as it is in force for the time being, taking account of any amendment, extension, or re-enactment and includes any subordinate legislation for the time being in force made under it.

1.3 References to clauses, and annexures are to the clauses and annexures of this Agreement; references to paragraphs are to paragraphs of the relevant annexures to this Agreement.

1.4 If any provision in a definition is a substantive provision conferring rights or imposing obligations on any Party, notwithstanding that it is only in the definition clause, effect shall be given to it as if it were a substantive provision in the body of the Agreement.

1.5 When any number of days is prescribed in this Agreement, same shall be reckoned exclusively of the first and inclusively of the last day unless the last day is not a business day, in which case the last day shall be the next succeeding business day.

1.6 The expiration or termination of this Agreement shall not affect such of the provisions of this agreement as expressly provide that they will operate after any such expiration or termination or which of necessity must continue to have effect after such expiration or termination, notwithstanding that the clauses themselves do not expressly provide for this.

2 Definitions

2.1 The definitions and rules of interpretation in this clause apply to this Agreement.

2.1.1 "Acceptance Test Date" means the date or dates on which the Accep-tance Tests will be conducted, as set out in the Development Schedule;

2.1.2 "Acceptance Tests" means the tests conducted for the purposes of determining the compliance of the Software with the Specifications;

2.1.3 "AFSA" means the Arbitration Foundation of Southern Africa;

2.1.4 "Agreement" means this software development agreement and any schedules and annexures thereto;

2.1.5 "Commencement Date" means [insert date];

2.1.6 "Confidential Information" means information that is proprietary or confidential and is either clearly labelled as such or identified as Confidential Information by a Party, or information which the receiving Party knows or reasonably should have known is of a proprietary or confidential nature;

2.1.7 "Delivery Date" means [insert date on which the final version of the Software must be delivered and installed at the Location];

© Copyright – Leeuwner Maritz 2023

2.1.8 "Development Schedule" means the time schedule specifying the dates when the Software should be submitted for Acceptance Testing as well as the Delivery Date, more fully set out in Annexe "A";

2.1.9 "Electronic Signature" in relation to any written document communicated electronically will include the scanned version of the hand signature of the author of the written document and any other method used to identify the author and to indicate his or her approval of the information communicated in a sufficiently reliable way at the time the communication was first made;

2.1.10 "Hardware" means computer machinery and equipment, on which the Software is proposed to operate, which is attached as Annexe "C";

2.1.11 "Implementation Plan" means the plan specifying how and when the Software should be installed at the Location and be ready for operational use by the Customer, and once compiled by the Parties, will be annexed to the Agreement;

2.1.12 "Intellectual Property Rights" means all the rights in and to intellectual property including (without limitation) the rights in and to trademarks, service marks, trade names, domain names, logos, get-up, patents, provisional patents, inventions (whether patentable or not), know-how (including confidential industrial and commercial information and techniques in any form), utility models, registered and unregistered design rights, copyright, semi-conductor topography rights, database rights, and all similar proprietary rights which may subsist in any part of the world, as well as any Confidential Information or processes relating to that subject matter;

2.1.13 "Location" means [insert the physical address where the Software will ultimately be used by the Customer];

2.1.14 "Notice" means a written document carrying the hand signature or Electronic Signature of the author of the written document;

2.1.15 "Operating System Software" means third party software that controls basic, low-level computer hardware operations, and file management, without the user thereof having to operate it, as more fully described in the Technical Specifications and Functional Specifications;

2.1.16 "Party" means either the Service Provider or the Customer, and "Parties" means both the Service Provider and the Customer;

2.1.17 "Software" means the application computer programs to be developed and installed by the Service Provider to meet the requirements set out in the Technical Specifications and Functional Specifications;

2.1.18 "Software Documentation" means the written documents containing detailed instructions for the use and operation of the Software;

2.1.19 "Specifications" means functional requirements, architecture requirements, design specifications or technical specifications pertaining thereto which have either been agreed between the Parties or which are published by the proprietor, manufacturer or distributor of such software or hardware attached and marked as Annexe "E"; and [provision to be made for specifications.]

2.1.20 "Support Agreement" means the written agreement attached as Annexure "D", that regulates the maintenance and support of the Software, after the Delivery Date.

3 Development of software

3.1 The Service Provider must develop the Software in accordance with the Specifications.

© Copyright – Leeuwner Maritz 2023

3.2 The Service Provider must deliver and install the Software at the Location in accordance with the Customer's requirements.

3.3 Ownership of all rights, including Intellectual Property Rights, in and to the Software will vest in the Customer.

3.4 The Service Provider may not offer the Software or any portion of it, to any person other than the Customer without the prior written consent of the Customer.

4 Duration

4.1 The Agreement will commence on the Commencement Date.

4.2 Unless otherwise terminated in terms of the Agreement, the Agreement will automatically terminate upon delivery of the Software by the Service Provider; provided that the Customer does not exercise its right to reject the Software, as stipulated in the Agreement.

5 Rights and obligations of the customer

The Customer will utilise its reasonable endeavours to:

5.1 have all the Hardware installed which is required for the Software to be operational at the Location;

5.2 [include any relevant obligations required for the Customer to receive the benefit of the Software.]

6 Rights and obligations of the service provider

6.1 The Service Provider:

6.1.1 undertakes to develop the Software using competent, trained staff;

6.1.2 will ensure that the Software functions error free and free from any defects for the duration of this Agreement;

6.1.3 agrees to support and maintain the Software; and

6.1.4 will provide the Customer with the Software Documentation.

6.1.5 [include any relevant obligations required for the Customer to receive the benefit of the Software.]

7 Variations

7.1 The Customer may at any stage during the existence of the Agreement, change any aspect of the Specifications, if:

7.1.1 the Service Provider has been notified of the changes by way of a Notice; and

7.1.2 the Service Provider has notified the Customer by way of a Notice that the changes are executable; and

7.1.3 the Delivery Date will be extended with not less than the same number of days caused by such a change.

7.2 If the Service Provider is unable to develop or deliver the Software on or before the Delivery Date for any reason whatsoever, it will inform the Customer by way of a Notice. The Notice will fully motivate the reasons for the delay and request an extension of the Delivery Date from the Customer. The Customer must not unreasonably withhold granting an extension.

8 Implementation

8.1 Within [insert number] days after the Commencement Date, the Parties will arrange a meeting or meetings:

8.1.1 to determine Acceptance Tests which will be used to establish whether the Software meets the requirements set out in the Specifications; and

8.1.2 to compile the Implementation Plan;

8.1.3 to determine the dates when the Service Provider will install the Software.

8.2 On the Acceptance Test Date, the Service Provider and the Customer will jointly conduct the Acceptance Tests.

8.3 Responsibility for ensuring that the Acceptance Tests are correctly carried out will rest primarily on the Service Provider, and the Service Provider will co-operate fully with the Customer in all tests.

8.4 Successful completion of the Acceptance Tests for the Software will constitute acceptance that the Software complies with the Specifications and that fact will be recorded in a notice of acceptance.

8.5 The Customer must appoint a project manager, at senior management level, for the duration of the Agreement, who will be the authorised representative of the Customer for the purposes of the Agreement.

8.6 The Service Provider must appoint a project manager, at senior management level for the duration of the Agreement, who will be the authorised representative of the Service Provider for the purposes of the Agreement.

8.7 The Service Provider must establish and maintain a detailed schedule of the work to be done in terms of the Agreement and it will provide the Customer with regular reports in this respect.

8.8 The project managers of the Service Provider and the Customer will meet on a [Drafting note: insert interval] basis and the Service Provider project manager will report progress on the Project in a written report detailing at least the following points:

8.8.1 progress against the Development Schedule; and

8.8.2 all factors affecting progress against the Development Schedule;

9 Implementation assistance

9.1 The Service Provider must ensure that the transfer of Software onto the computer system at the Location is seamless and error free.

9.2 In accepting such responsibility and undertaking this work, the Service Provider will prepare and install Operating System Software to conform with the requirements set out in the Specifications.

9.3 The Service Provider must ensure the loading of the Customer's converted computer data at the Location.

9.4 The Service Provider will develop any additional facilities as are necessary to provide a working installation on which production processing may start and continue at the Location.

10 Acceptance procedures

10.1 The Software and its documentation will be accepted in the manner and in accordance with the terms set out in the Acceptance Tests.

10.2 Following each Acceptance Tests session the Customer will provide the Service Provider with a list of defects to be rectified in respect of the Software.

10.3 The Service Provider must rectify the defects in [insert number] days of the notification and will notify the Customer of the time and place when the Acceptance Tests may be re-conducted.

10.4 The Acceptance Tests procedure will be repeated until the Customer is satisfied that the Software which is the subject of the Acceptance Tests, complies with the Specifications and issues an acceptance certificate to this effect.

11 Payment

11.1 The Customer will pay the Service Provider a fee of [insert amount] on the Software passing the Acceptance Tests.

11.2 All payments due by the Customer to the Service Provider, will include any taxes or levies due as a result of a requirement by any governmental organisation (which will include but not be limited to any value added tax, importation tax, withholding tax and general sales tax) and all these taxes or levies, will be paid by the Customer.

12 Warranties

12.1 Each of the Parties hereby warrants to and in favour of the other that–

12.1.1 it has the legal capacity and has taken all necessary corporate action required to empower and authorise it to enter into this Agreement;

12.1.2 this Agreement constitutes an agreement valid and binding on it and enforceable against it in accordance with its terms;

12.1.3 the execution of this Agreement and the performance of its obligations hereunder does not and shall not–

12.1.3.1 contravene any law or regulation to which that Party is subject;

12.1.3.2 contravene any provision of that Party's constitutional documents; or

12.1.3.3 conflict with, or constitute a breach of any of the provisions of any other agreement, obligation, restriction or undertaking which is binding on it;

12.1.4 to the best of its knowledge and belief, it is not aware of the existence of any fact or circumstance that may impair its ability to comply with all of its obligations in terms of this Agreement;

12.1.5 it is entering into this Agreement as principal (and not as agent or in any other capacity);

12.1.6 the natural person who signs and executes this Agreement on its behalf is validly and duly authorised to do so; and

12.1.7 no other party is acting as a fiduciary for it.

12.2 The Service Provider warrants that the Software will comply with the Specifications.

12.3 The Service Provider warrants that the development of the Software will be carried out in a proper and professional manner by properly qualified personnel.

12.4 The Service Provider warrants:

12.4.1 that it shall at all times perform its responsibilities under the Agreement in a manner that does not infringe, or constitute an infringement or misappropriation of, any Intellectual Property Rights or other proprietary rights of any third party; and

12.4.2 that it holds and shall at all relevant times continue to hold, the rights required to meet its obligations under this Agreement.

12.5 The Service Provider further warrants and guarantees that any faults or defects in the Software discovered by the Customer and rendering the Software unsuitable for the purpose for which it was acquired, shall be corrected by the Service Provider at no charge to the Customer within a reasonable time and as quickly as possible, provided that the faults or defects are not solely directly attributable to the actions of the Customer.

12.6 The terms of this clause will apply, despite the fact that the Customer may have accepted all or part of the Software and despite that payment in respect of the Software may already have been effected by the Customer.

13 Software support and maintenance

13.1 After delivery of the Software, support and maintenance will be provided by the Service Provider as detailed in the Support Agreement.

14 Limitation of liability

14.1 The Parties agree that, in the event of a breach of any of the provisions of this Agreement, the defaulting Party shall be liable to the other Party for all losses which constitute direct and/or general damages. [include cap on liability for direct damages as appropriate.]

14.2 Neither Party shall be liable to the other for any losses which constitute indirect, special or consequential damages.

15 Confidentiality

15.1 Each party may be given access to Confidential Information of the other Party in order to perform its obligations under this Agreement. A Party's Confidential Information shall not be deemed to include information that:

15.1.1 is or becomes publicly known other than through any act or omission of the receiving Party;

15.1.2 was in the other Party's lawful possession before the disclosure;

15.1.3 is lawfully disclosed to the receiving Party by a third party without restriction on disclosure;

15.1.4 is independently developed by the receiving Party, which independent development can be shown by written evidence; or

15.1.5 is required to be disclosed by law, by any court of competent jurisdiction or by any regulatory or administrative body.

15.2 Each Party shall hold the other's Confidential Information in confidence and, unless required by law, not make the other's Confidential Information available to any third party, or use the other's Confidential Information for any purpose other than the implementation of this Agreement.

15.3 Each Party shall take all reasonable steps to ensure that the other's Confidential Information to which it has access, is not disclosed or distributed by its employees or agents in violation of the terms of this Agreement.

16 Data privacy and protection

16.1 Each Party's data shall be and remain the property of that Party and its affiliates. Neither Party shall divulge the data of the other Party to third parties (unless provided otherwise in this Agreement) and a Party shall use the data of the other Party only for purposes of this Agreement.

16.2 Neither Party shall possess or assert any lien or other right against or to the other Party's data, or sell, assign, lease or otherwise dispose of the other Party's data, or any part thereof, to third parties. Each Party shall take such steps as are reasonably required to prevent its employees, sub-contractors and their employees and agents from doing the same.

16.3 [insert other data protection provisions as appropriate.]

.....

.....

17 Termination

17.1 Either Party may terminate this Agreement if the other Party commits a material breach and fails to remedy such breach within [insert period] written notice by the other Party.

17.2 [insert as applicable, other grounds for termination for cause and consider providing the Customer's right to terminate for convenience.]

.....

.....

18 Force majeure

Neither Party shall have liability to the other Party for any losses which are a result of such Party's failure to perform under this Agreement to the extent that such Party is prevented from or delayed in performing its obligations under this agreement, or from carrying on its business, by acts, events, omissions or accidents beyond its reasonable control, including, without limitation, strikes, lock-outs or other industrial disputes, an act of God, war, riot, civil commotion, malicious damage, compliance with any law or governmental order, rule, regulation or direction, accident, fire, flood, or storm.

19 Dispute resolution

19.1 In the event of there being any dispute or difference between the Parties arising out of this Agreement, the said dispute or difference shall on written demand by either Party be submitted to arbitration in [insert name of city] in accordance with the AFSA rules, which arbitration shall be administered by AFSA.

19.2 Should AFSA, as an institution, not be operating at that time or not be accepting requests for arbitration for any reason, then the arbitration shall be conducted in accordance with the AFSA rules for commercial arbitration (as last applied by AFSA) before an arbitrator appointed by agreement between the Parties to the dispute or failing agreement within 10 (ten) business days of the demand for arbitration, then any party to the dispute shall be entitled to forthwith call upon the chairperson of the [insert name of city] Bar Council to nominate the arbitrator, provided that the person so nominated shall be an advocate of not less than 10 (ten) years standing as such. The person so nominated shall be the duly appointed arbitrator in respect of the dispute. In the event of the attorneys of the Parties to the dispute failing to agree on any matter relating to the administration of the arbitration, such matter shall be referred to and decided by the arbitrator whose decision shall be final and binding on the Parties to the dispute.

19.3 Any Party to the arbitration may appeal the decision of the arbitrator or arbitrators in terms of

the AFSA rules for commercial arbitration.

19.4 Nothing herein contained shall be deemed to prevent or prohibit a Party to the arbitration from applying to the appropriate court for urgent relief or for judgment in relation to a liquidated claim.

19.5 Any arbitration in terms of this clause 19 (including any appeal proceedings) shall be conducted in camera and the Parties shall treat as confidential details of the dispute submitted to arbitration, the conduct of the arbitration proceedings and the outcome of the arbitration.

19.6 This clause 19 will continue to be binding on the Parties notwithstanding any termination or cancellation of this Agreement.

19.7 The Parties agree that the written demand by a Party to the dispute in terms of clause 19.1 that the dispute or difference be submitted to arbitration, is to be deemed as a legal process for the purpose of interrupting extinctive prescription in terms of the Prescription Act, 1969.

20 Waiver

20.1 A waiver of any right under this agreement is only effective if it is in writing and it applies only to the Party to whom the waiver is addressed and to the circumstances for which it is given.

20.2 Unless specifically provided otherwise, rights arising under this Agreement are cumulative and do not exclude rights provided by law.

21 Severance

21.1 If any provision (or part of a provision) of this Agreement is found by any court or administrative body of competent jurisdiction to be invalid, unenforceable or illegal, the other provisions shall remain in force.

21.2 If any invalid, unenforceable or illegal provision would be valid, enforceable or legal if some part of it were deleted, the provision shall apply with whatever modification is necessary to give effect to the commercial intention of the Parties.

22 Entire agreement

22.1 This Agreement, and any documents referred to in it, constitute the whole agreement between the Parties and supersede any previous arrangement, understanding or agreement between them relating to the subject matter they cover.

22.2 Each of the Parties acknowledges and agrees that in entering into this Agreement it does not rely on any undertaking, promise, assurance, statement, representation, warranty or understanding (whether in writing or not) of any person (whether party to this Agreement or not) relating to the subject matter of this Agreement, other than as expressly set out in this Agreement.

23 Assignment

23.1 The Service Provider shall not, without the prior written consent of the Customer, assign, transfer, charge, sub-contract or deal in any other manner with all or any of its rights or obligations under this agreement.

23.2 The Customer may at any time assign, transfer, charge, sub-contract or deal in any other manner with all or any of its rights or obligations under this Agreement.

24 Notices

24.1 Each of the Parties chooses their respective addresses set forth in clause 22.2, for the purposes of giving any notice, the payment of any sum, the serving of any process and for any other purposes arising from this Agreement.

24.2 [insert Parties' addresses.]

.....

.....

25 Governing law and jurisdiction

25.1 This Agreement and any disputes or claims arising out of or in connection with it or its subject matter or formation (including non-contractual disputes or claims) are governed by and construed in accordance with the laws of South Africa.

25.2 The Parties irrevocably agree that the High Court of South Africa has exclusive jurisdiction to settle any dispute or claim that arises out of or in connection with this Agreement or its subject matter or formation (including non-contractual disputes or claims).

26 Execution in counterparts

26.1 This Agreement may be executed in one or more counterparts, each of which shall be deemed to be an original, and all of which together shall constitute one and the same agreement as at the date of signature of the Party that signs its counterpart last in time.

Disclaimer: All the information on this website is published in good faith and for general information purposes only. We do not make any warranties about the completeness, reliability and accuracy of this information. Any action you take based upon the information on our website is strictly at your own risk and we will not be liable for any losses and damages suffered in connection with the use thereof. Kindly contact an attorney at Leeuwner Maritz Attorneys for further legal advice.